

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**RESPONDENT'S RESPONSE TO
THE FEDERAL MARITIME COMMISSION'S ORDER FOR SUPPLEMENTAL
INFORMATION**

Respondent SM LINE CORPORATION ("SM Line"), by and through its undersigned attorneys, hereby responds to the Federal Maritime Commission's ("FMC" or the "Commission") March 12, 2025, Order for Supplemental Information and as part of its response submits its Second Supplemental Appendix.

1. What is the precise number of shipments are at issue in this proceeding?

- 1.1. SEA's complaint never clearly alleged what the "precise number of shipments at issue" are.
- 1.2. Therefore, lacking a clear indication by SEA, SM Line is not able to determine which, shipments are at issue in this proceeding.
- 1.3. SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.¹

¹ The term "Order" identifies the Order for Supplemental Information issued by Hon. Judge Mary A. Hervey on March 12, 2025 and filed as number 139 with Docket 23-01

2. What is the precise number of charges are at issue in this proceeding?

- 2.1 SEA's complaint never clearly alleged what the "precise number of charges at issue in this proceeding are.
- 2.2 SEA alleged that "between January 1, 2020 and December 31, 2022 ("Relevant Time Period"), SEA's claim for direct damages for over 18,186 transportation charges are calculated as totaling \$14,623,542." CX_005436.
- 2.3 Without additional specificity by SEA, SM Line is left to believe that SEA is seeking to recover from SM Line every single of those 18,186 transportation charges that SEA paid to any and all of its transportation service providers.
- 2.4 However, SEA failed to identify each one of those 18,186 charges and, more importantly, failed to show how each of those 18,186 charges were unreasonably or otherwise unlawfully levied onto SEA and by whom.²
- 2.5 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

3. What is the date of the first and last shipment at issue in this proceeding?

- 3.1 SM Line is unable to determine the date of the first and last shipment at issue in this proceeding because SEA's complaint nor briefing ever clearly stated what "the first and the last shipment at issue" were.
- 3.2 According to SEA's own record –
 - 3.2.1 The first "invoice date" for demurrage charge for a shipment involving SEA was 12/25/2020 (CX_005012) and the "posting date" of the last demurrage charge was 10/17/2022 (CX_005074).³
 - 3.2.2 The first "invoice date" for detention charge of a shipment involving SEA was 10/10/2019 (CX_005135) while the "invoice date" of the last detention charge was 5/3/2022 (CX_005151);
- 3.3. SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

² SM Line is unable to decipher nor verify the alleged list of charges because many of the charges are missing invoice dates, Bills of Lading numbers, and/or container numbers, along with any kind of responsive supporting evidence.

³ Alleged "Invoice Date" was missing for many of SEA's demurrage charges as alleged in its Expert Report. CX_005049 - CX_005072. We note that SEA never produced the responsive invoices as alleged in its briefs.

4. **State whether the record includes a container-by-container summary of the charges assessed against SEA, and, if so, specify by Bates stamp number where it is located in the record. To the extent not already done so, please produce the summary on an Excel spreadsheet.**
- 4.1 SM Line submits that it is a duty of SEA as the Claimant to produce container by container analysis to prove its case and that SEA has failed to do so.
 - 4.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.
5. **State whether or not the shipments at issue in this proceeding are subject to the terms of the service contracts located at RX_0002303-2315, RX_0002335-2348, RX_0002369-2382, RX_0004523, RX_0004546, and RX_0004567.**
- 5.1 Between SM Line and [REDACTED] existed service agreements in place respectively covering years 2021, 2022, and 2022. The documents located at RX_0002303-2315, RX_0002335-2348, RX_0002369-2382.
 - 5.2 Between SM Line and [REDACTED], there were service contracts in place, respectively covering years, 2020, 2021, and 2022. RX_0004485-4501, RX_0004506-4518; and RX_0004566-4583.
 - 5.3 Between SM Line and [REDACTED] existed a service agreement. RX_0004809-4814. This service agreement was understood to have been renewed automatically which was confirmed by way email. RX_0002765.⁴
 - 5.4 Between SM Line and [REDACTED], there were service contracts in place, respectively covering years 2020, 2021, and 2022. RX_0004519-4541, RX_0004834 – 4849, RX_0004542-4562, and RX_0004563-4583.⁵
 - 5.5 As many other non-US trades are provided in the Service Agreement, the said Service Agreements function similarly to a global service contract.
 - 5.6 Unlike Service Agreements, all of the Service Contracts are contracts for the US-trade only.

⁴ The service agreements between SM Line and [REDACTED] located at RX_0002303-2315, RX_0002335-2348, RX_0002369-2382, together with the service agreement between SM Line and [REDACTED] located at RX_0004809-4814 are collectively referred hereto as "Service Agreements" and each individually a "Service Agreement".

⁵ The service contracts between SM Line and [REDACTED] located at RX_0004485-4501, RX_0004506-4518; and RX_0004566-4583 together with the service contracts between SM Line and [REDACTED] located at RX_0004519-4541, RX_0004542-4562, and RX_0004563-4583 are collectively referred hereto as "Service Contracts", and each individually a "Service Contract".

- 5.7 All rates in the bill of lading derive from or are based upon the rates in the Service Contracts and are also consistent with the rates in the Service Agreements.
- 5.8 All Service Contracts were filed with the Federal Maritime Commission. For easy of reference SM Line Submits that the following service contracts as per Servcon portal filing records are applicable to the shipments at issue in these proceeding.

SERVCON Filing Record					
SM Line Org. Number	S/C Number	Service Contract Counterparty	Confirmation Number	Effective Date	RX Reference
27049	AEF200101	[REDACTED]	DK9ROA7	1/1/2020	RX_0004485-4501
27049	AEF200202	[REDACTED]	207Y0BK0	1/1/2020	RX_0004519-4541
27049	AEF200303	[REDACTED]	3K5KFKFJ	1/1/2020	RX_0004834 - 4849
27049	AEF210101	[REDACTED]	9WA8BNX	1/1/2021	RX_0004502-4518
27049	AEF210202	[REDACTED]	21PM8C9L	1/1/2021	RX_0004542-4562
27049	AEF220101	[REDACTED]	1VVI6AG7	1/1/2022	RX_0004160 Native
27049	AEF220202	[REDACTED]	10909JNK	1/1/2022	RX_0004563-4583

- 5.9 Each relevant Service Contract number is expressly incorporated into all the bills of lading issued by SM Line to the shipper/customer. For instance, see the sample bill of lading which expressly names (on the top of the left column of the FREIGHT AND CHARGES table) the applicable number of the Service Contract that was filed with the FMC (ie. OFT AEF210101). And the said Service Contract contains the applicable terms and services, including rates and other relevant provisions such as free time for detention and demurrage charges, among others. CX_004513.
- 5.10 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

6. If your answer to paragraph 5 is affirmative, please state the date on which each of the service contracts was fully executed.

- 6.1 Please see our response to the question number 5 of this Order.

- 6.2 The Service Contracts were not executed in ink by the parties. However, between sophisticated parties like the ones involved in this dispute, the intention of the parties to enter into the Service Contracts and their validity and effectiveness is established by the fact that the parties performed according to the terms of the Service Contracts for their entire duration.
- 6.3 Furthermore, the Service Contracts are filed with the FMC even when they are not executed by the parties. This is common industry practice between sophisticated parties and has been the course of performance and dealing between the parties in question.
- 6.4 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

7. If your answer to paragraph 5 is affirmative, please provide fully executed copies of each service contract to the extent not already in the record along with any other documentation showing that the agreements were fully executed, including but not limited to emails.

- 7.1 See responses to questions numbers 5 and 6.
- 7.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

8. If your answer to paragraph 5 is affirmative, for each contract please identify the Samsung entity that executed the agreement and describe the legal relationship between SEA and each Samsung entity during the relevant time frame.

- 8.1 [REDACTED] and [REDACTED] led the bidding with ocean carriers, like SM Line, for or on behalf of SEA.
- 2020 [REDACTED] RFQ: RX_0002818-2841 (Translation Certificate: RX_0002817)
 - 2021 [REDACTED] RFQ: RX_0002843-2868 (Translation Certificate: RX_0002842)
 - 2020 [REDACTED] RFQ: RX_0002865-2886 (Translation Certificate: RX_0002864)
 - 2020 [REDACTED] RFQ: RX_0003013-3036
 - 2021 [REDACTED] RFQ: RX_0003061-3080
 - 2022 [REDACTED] RFQ: RX_0003037-3060
- 8.2 [REDACTED] and [REDACTED] are the only named signatories of the Service Contracts and Service Agreements.

- 8.3 SEA actively participated in the Service Contracts and its contractual discussions via [REDACTED] or [REDACTED]. RX_0002925-2926 (Translation Certificate RX_0002924)
- 8.4 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

9. If your answer to paragraph 5 is negative, please explain why the parties are not bound by the terms of the service contracts referenced in paragraph 5.

- 9.1 Not applicable as SM Line's answer to question number 5 above is in the affirmative.
- 9.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

10. If you answer to paragraph 5 is negative, please identify all service contracts governing the shipments at issue in this proceeding, state what Samsung entity executed each agreement, and describe the legal relationship between SEA and the Samsung entity that executed the agreement. Provide fully executed copies of each service contract identified.

- 10.1 Not applicable as SM Line's answer to paragraph 5 above is in the affirmative. SM Line further submits that SM Line would not be able to answer to this question as SEA has not identified the individual shipments at issue nor has identified any service contract SEA considers itself bound by.
- 10.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

11. State whether the service contracts governing this proceeding were filed with the Federal Maritime Commission.

- 11.1 Yes. Please see answers to question numbers 5 and 6.
- 11.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

12. Identify all tariffs applicable to the shipments at issue in this proceeding. Provide copies of all applicable tariffs to the extent not already in the record.

- 12.1 Below are the tariff applicable to this proceeding.
- RX_0004798 – RX_0004808 (SML Tariff 700 23-F; 3/2020);
 - RX_0004815 (SML Tariff 700 21-H; 1/2022);
 - RX_0004816 – 4817 (SML Tariff 700 2-X2; 1/2017)
 - RX_0004818 (SML Tariff 700 2-X; 1/2017)
 - RX_0004819 (Native) (SML Tariff 700 21-C; 11/2021)
 - RX_0004820 – 4822 (SML Tariff 700 2-N; 1/2017)
 - RX_0004823 – 4832 (SML Tariff 700 23-F; 11/2021)
 - RX_0004833 (SML Tariff 700 2-X3; 1/2017)
- 12.2 Copies of the following relevant applicable tariffs already in the record are:
- RX_0004483 – 4484 (SML Tariff 700 2X-6; 1/2017)
 - RX_0003488 - 3490 (SML Tariff 700 21-C; 6/2018)⁶;
- 12.3 As far as SM Line is aware, the applicable tariffs are listed and are incorporated into each service contracts in Clause 12 Provisions/Notes/Exception. (See service contracts at the following RX Numbers:
- Native RX_0004160 at Line 302;
 - RX_0004495
 - RX_0004512;
 - RX_0004534;
 - RX_0004555
 - RX_0004575;
 - RX_0004845;
- 12.4 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

13. State whether or not the applicable tariff was incorporated by reference into the applicable service contracts, and provide a pin-point citation to each provision in which the incorporation by reference has been made.

- 13.1 See response to question number 12.
- 13.2 Please find the pages of each service contract that incorporates by reference the applicable tariff provisions:
- 2020 [REDACTED] Service Contract –

⁶ At SEA's request, SM line emailed this particular tariff to SEA on or about February 19, 2020. RX_0003486-3487.

- o RX_0004520 (Section 4.2.7);
 - o RX_0004534 (12.A. Provisions :)
 - o RX_0004536 ([Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004539 ([Trans-Pacific E/B Trade] Section 2.1)
- 2020 [REDACTED] Service Contract
 - o RX_0004835 (Section 4.2.7);
 - o RX_0004845 (12.A. Provisions :)
 - o RX_0004846 ([Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004848 ([Trans-Pacific E/B Trade] Section 3.1 and 3.2)
- 2021 [REDACTED] Service Contract –
 - o RX_0004543 (Section 4.2.7);
 - o RX_0004555 (12.A. Provisions :)
 - o RX_0004557 ([Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004560 ([Trans-Pacific E/B Trade] Section 2.1)
- 2022 [REDACTED] Service Contract –
 - o RX_0004575-4576 (12.A. Provisions :)
 - o RX_0004577 ([Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004581 ([Trans-Pacific E/B Trade] Section 3.1)
- 2020 [REDACTED] Service Contract –
 - o RX_0004486 (Section 4.2.7);
 - o RX_0004595 (12.A. Provisions : [Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004498 ([Trans-Pacific E/B Trade] Section 2.1)
- 2021 [REDACTED] Service Contract –
 - o RX_0004503 (Section 4.2.7);
 - o RX_0004512 (12.A. Provisions :);
 - o RX_0004514 [Trans-Pacific E/B Trade] Sections 1.4 and 2.1);
 - o RX_0004516 ([Trans-Pacific E/B Trade] Section 2.1).
- 2022 [REDACTED] Service Contract –
 - o RX_0004160 (Native File) – Lines 305; 352; 354-355; 438;

- 13.3 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

14. State whether the shipments at issue in this proceeding are subject to SM Line Tariff Rule SM Line 700 at RX 0004483–84.

- 14.1 Yes, the shipments at issue are subject to the Tariff 700 which has been incorporated by reference on the Service Contracts which, in its turn, has been expressly incorporated in all bills of lading. Please see above our responses to questions numbers 5, 6, 8, 12, and 13 of this Order.
- 14.2 SEA signed a standalone Customer Nominated Trucker Agreement that is nearly identical to the terms and conditions of the said Tariff Rule 700. CX_004545 – 4546.
- 14.3 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

15. Identify all agreements in which SM Line agreed to provide shipping services at “super all-in rates,” and/or “store door” terms with respect to the shipments at issue. Provide fully executed copies to the extent not already in the record.

- 15.1 SM Line respectfully submits that the existence of “super all-in rates” and “store door” terms is alleged by SEA and that SEA only bears the burden of proving that such terms exist and that they were effective during the relevant time period.
- 15.2 Nonetheless, in compliance with the Order, SM Line submits that all Service Contracts identified in response No. 5 above indicate what is included in the carrier's rates and also specify that demurrage and detention will be owed to carrier on the basis of the governing tariff. RX_0004498 – 4499; RX_0004539 – 4540; RX_0004847 – 4848; RX_0004516 – 4517; RX_0004560 – 4561; RX_0004160 Excel Lines 434-482; RX_0004581 – 4582.
- 15.3 Additionally, the Service Agreements identified response No. 5 also contain an indication of what is included in the carrier's rates and, as it was for the Service Contracts, carve out demurrage and detention charges from those rates. For the explanation of what is included in the carrier's rates see RX_0002306 – 2307; RX_0002338 – 2339; RX_0002372 – 2373. For the exclusion of demurrage and detention among the charges included in the carrier's rate see: RX_0004812 - 4813; RX_0002308; RX_0002340; RX_0002374.

15.4 Both Service Contracts and service agreements were entered into by SM Line pursuant to RFQs issued by Samsung entities and listed in response No. 8 above. The RFQs expressly exclude several charges from what the carrier's rates were intended to include and demurrage and detention charges are among charges expressly excluded from the rates. As an example, all three [REDACTED] RFQ contain similar languages to one found in 2020 [REDACTED] RFQ "[REDACTED]

- RX_0002821 (2020 [REDACTED] RFQ)
- RX_0002846 (2021 [REDACTED] RFQ)
- RX_0002868 (2022 [REDACTED] RFQ)

15.5 All [REDACTED] RFQ contain the identical languages regarding the same point, ie. "[REDACTED]
[REDACTED]
[REDACTED]"

- RX_0003029 (2020 [REDACTED] RFQ)
- RX_0003077 (2021 [REDACTED] RFQ)
- RX_0003053 (2022 [REDACTED] RFQ).

15.6 Regarding "store door" term, the Customer Nominated Trucker agreement and other tariff provisions expressly makes an exception out of the store delivery terms and place the legal burden and related liability (along with the duty to indemnify the ocean carrier) to the shipper who nominated the trucker. RX_0001042 – 1043; RX_0004483–4484.

15.7 Further, all three [REDACTED] RFQ contain similar languages to one found in 2020 [REDACTED] RFQ "**The shipping company provides service with a CNT Trucker if the importer has a preferred trucker (CNT = Customer Nominated Trucker)**".

- RX_0002834 (2020 [REDACTED] RFQ)
- RX_0002856 (2021 [REDACTED] RFQ)
- RX_0002879 (2022 [REDACTED] RFQ)

15.8 All [REDACTED] RFQ contain the identical languages regarding the same point, ie. "**- Carriers are required to provide local delivery service with consignee's preferred trucker if any (CNT = Customer Nominated Trucker)**"

- RX_0003024 (2020 [REDACTED] RFQ)
- RX_0003072 (2021 [REDACTED] RFQ)
- RX_0003048 (2022 [REDACTED] RFQ).

- 15.9 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

16. Please state whether or not SEA is the consignee on the bills of lading at issue in this proceeding, and if not identify its role with respect to the shipments at issue.

- 16.1 SEA's complaint never clearly alleged what the precise number of bills of lading at issue are.
- 16.2 Based on SM Line's internal findings, SM Line believes that SEA has been named as the consignee on all of the bills of lading for which SEA might be claiming reparations in this proceeding.
- 16.3 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

17. Explain what the document titled "LPS Direct Ship Operation" at RX_0001199 is, state when it was created, state how it was used by SEA, and state whether it was used to train SEA employees, and, if so, when.

- 17.1 SM Lines cannot answer the question asked in paragraph 17 as the document and its creation were under the sole control and direction of SEA.
- 17.2 SEA's own employee who was hired as a contractor confirmed that she was trained with said document. Kim Huynh Dep. Transcript. RX_0000913-914, Pages 64:22-65:11; RX_000915-917, Pages 66:1-68:6
- 17.3 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

18. Set forth the conditions of carriage on SM Line's standard bill of lading for the shipments at issue.

- 18.1 The conditions of carriage on SM Line's standard bill of lading are at RX_0002292.
- 18.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

19. State whether or not SEA paid the following invoices that it now claims that SM Line billed in violation of OSRA: CX_005597, CX_005598, CX_005599, CX_005600,

CX_005595, CX_005596. To the extent payments were made, supplement the record with proof of payment.

- 19.1 SM Line has no record of receiving any payments on the six (6) invoices nor has SEA produced any evidence in this proceeding showing that the invoices in questions were paid.
- 19.2 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

20. State whether or not SEA disputed any of the charges at issue prior to putting SM Line on notice that it intended to file a complaint under the Shipping Act. If charges were disputed, please identity the charge disputed, provide the container number that incurred the charge, and set forth the date and manner in which each charge was disputed. Provide copies of all documents related to the dispute, including but not limited to emails in which charges were disputed by SEA or reflect actions taken by SM Line in response.

- 20.1 SM Line has no record of receiving any dispute, claim for refund, or waiver request from SEA regarding detention or demurrage charges based on a container number along with other specific details necessary to identify and review the charges being contested.
- 20.2 Notwithstanding SM Line's discovery demands in this sense during the course of this proceeding, SEA has not produced any evidence of SEA disputing charges vis-à-vis SM Line, or of SM Line ignoring or denying such requests.
- 20.3 SM Line reserves its right to respond to any additional allegation raised by SEA in response to the Order if SEA's responses allege new claims or arguments, or if SEA provides new documents or analysis.

Dated: April 2, 2025

Respectfully submitted,

/s/Wook Chung

Wook Chung

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Counsel for Respondent

SM Line Corporation

VERIFICATION

I, Sang-Ryun Jeon, verify under the penalty of perjury that the above statements are true and correct to the best of my knowledge.

Executed on April 2, 2025.

A handwritten signature in cursive script, appearing to read "Sang-Ryun Jeon", written in dark ink.

Sang-Ryun Jeon
Managing Director
North America Region
SM Line Corporation

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 2nd day of April 2025, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
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